Group intercompany pricing circular | 04/2025

Controlled copy | issued 19 December 2024 | applies to calendar-year 2025 planning

ISSUING OFFICE	Group Controlling, Düsseldorf
APPROVAL	N. Adler, Group CFO, electronically approved 18 Dec 2024
RECIPIENTS	DE Plant Finance; Japan Finance; Asterion US Treasury and Controlling
SYSTEM REFERENCE	PC-04 / DMS v4.1; mapped to ERP code IC-REV-25

A. Commercial framework

The German and Japanese entities supply manufactured drive systems for distribution by Asterion US Inc. Invoices are raised in USD at provisional catalogue prices. The annual intercompany settlement is booked through US finance and the relevant manufacturing entity. Each manufacturing division retains its own line-level cost record; US Controlling maintains a consolidated net operating margin measure for income-tax compliance and management reporting.

Article	2025 catalogue price	Intercompany pricing approach
AX14	$1,290	Forecast factory cost is used for provisional invoices. Fiscal-year price is the manufacturing entity's actual fully absorbed production cost for the invoiced lot plus eight per cent. Group finance verifies the cost source and updates the billing reference.
CN08	$1,190	Price schedule reflects production launch and forecast volumes. Trade, warranty and customer-acquisition conditions are reviewed by the steering group at each quarter close. An adjustment instruction is issued where the commercial review warrants a change.
OP03	$1,690	Forecast plant cost plus ten per cent. Production costs are finalised by the Japanese plant by shipment and agreed in the annual cost close. Separate programme support and IP terms may be charged by other group entities.

B. Close and documentary discipline

The settled amounts must be documented by manufacturing records, accounting entries and reconciliations to group tax reporting. Local tax teams will review the US operating return against third-party distribution comparables after the manufacturing closing journals have been posted. Group-level adjustments for distribution performance may be posted separately from manufactured-unit costs, as instructed by the Group CFO. Business controllers are responsible for communicating the adopted adjustments to US Tax and Shared Services.

Local purchasing agreements remain in force. Where a schedule is revised, procurement, the relevant plant and group finance must maintain the signed revisions and ERP implementation record. The US and German ERP files were later aligned for fiscal-year reporting; Procurement maintains a distinct schedule-approval register.

Annex 1 | Product note circulated 15 January 2025

CN08: US channel launch expenditure is borne centrally subject to sell-through performance. The group planning model recorded a potential $95,000 support credit where annual independent US placements exceed 1,000 units. The plan assumes that Asterion US continues to meet training, demonstration and field-support obligations through 2025. The January planning model listed the item under both the launch programme budget and procurement-settlement planning; the eventual accounting treatment was left for the

year-end close.

OP03: programme-cost reports distinguish factory work, corporate technical support and separately licensed embedded control technology. The factory costing file is the source for shipment-level cost settlement. Regional profit alignment may be considered once the US distribution results are known.

Programme note | OP platform results alignment

DMS scan of proposed 2025 supplement and electronic approvals

DRAFT	25 May 2025; originated by Global Tax and Commercial Finance
US APPROVAL	S. Moreno, Asterion US Finance Director, click-approved 28 May 2025
JAPAN APPROVAL	T. Nishida, Japan Plant CFO, click-approved 18 June 2025
GROUP ACKNOWLEDGEMENT	N. Adler, Group CFO, e-signature 6 August 2025

The OP03 platform will remain on standard cost-plus purchase invoices during the calendar year, but management intends to consider the US reseller's realised operating result when determining the final intercompany settlement. The financial target is the central point of the comparable distribution range in the 2025 local file, subject to operational adjustments and any extraordinary market costs.

Where management determines that a further rebalancing is necessary, the Japanese supplier will credit or invoice US Treasury. The accounting file will contain an allocation to OP03 for the purpose of the fiscal-year income-tax result. The programme team should make reasonable efforts to preserve product attribution in its supporting schedules. Finance classified the settlement to the FY25 reporting period and notified Procurement of the adopted corporate-level adjustment.

Asterion US procurement has continued issuing its original purchase-order templates. The 6 August 2025 group acknowledgement was appended to the controlled DMS copy. ERP master data shows a policy date field of 1 January 2025 and the first AP-relevant OP03 margin correction was entered on 18 March 2026.

Internal controls note | 19 March 2026

Shared Services reported that annual manufacturing cost changes and the OP03 corporate equalisation credit were all transmitted through the intercompany netting process. Product cost settlement and management result alignment were presented on one consolidated Treasury advice, although they retained different ledger accounts and controller references. Local tax reporting used the fully posted result.